

summary of complaint

Mr and Mrs C have complained about AXA Insurance UK Plc's handling of their claim for subsidence.

background to the complaint

The background and circumstances to the complaint were set out in my provisional decision dated 28 May 2013, a copy of which is attached to, and forms part of this decision.

AXA and Mr and Mrs C responded to the provisional decision.

In summary, AXA raised the following substantive points:

- it would consider meeting the costs of improvements to deal with subsidence where the cause of subsidence was fortuitous, *i.e.* one which happened by chance *e.g.* leaking drains or vegetation. The damage here was always inevitable and therefore not a chance occurrence
- underpinning would be considered but that would be part of an overall repair scheme and,
- its investigations into the cause of damage were adequate and the conclusion was that the installation of 'appropriate' drainage would resolve all potential causes identified.

Mr and Mrs C have suggested that the redress for their complaint includes a stipulation that the repairs carried out by AXA are managed by their surveyor in lieu of AXA's loss adjuster. Mr and Mrs C require AXA to pay the costs of their surveyor's project management.

my findings

I have considered all the evidence and arguments from the outset, including the latest submissions from AXA and Mr and Mrs C.

Having done so, I have reached the same view as that expressed in my provisional decision and for the same reasons. I do not propose to repeat the findings in my provisional decision but would like to comment further on the response received from AXA and Mr and Mrs C. I have considered AXA's comments regarding the inevitability of subsidence due to water percolation from neighbouring land and defective paving as an explanation for why AXA should not carry out its suggested improvements. As I noted in my provisional decision, preventative works are not generally covered by insurance policies. However, it is good practice for an insurer to complete such work in situations where it is the only way to ensure that the repairs it completes - due to an insured loss - will last for a reasonable period of time. I do not consider it appropriate to draw a distinction if the damage can be described as inevitable. In any event, here one of the potential causes of damage (and probably the major cause), water percolating from neighbouring land, was unlikely to have been known to Mr and Mrs C.

I understand Mr and Mrs C's request for the claim to be managed by their surveyor. However I do not consider it appropriate to make any direction in respect of that. I do not believe that there has been any particular problem with AXA's agents. If any such problem arose in the future it would be a new matter which should be referred to AXA to consider which would only be escalated to this service if unresolved.

my decision

My final decision is that I uphold this complaint. I direct that AXA Insurance UK Plc:

- at its expense carry out their recommended repair schemes of the installation of drainage to the right hand side of the property and re-profiling of the patio area
- carry out necessary repairs and any preventative work to deal with the subsidence damage
- pay to Mr and Mrs C the sum of £150 for the distress and inconvenience caused by the handling of the claim
- pay any costs Mr and Mrs C have spent on instructing a surveyor in respect of the claim

Ray Lawley
ombudsman

COPY

PROVISIONAL DECISION

complaint

Mr and Mrs C have complained about AXA Insurance UK Plc's handling of their claim for subsidence.

background

Mr and Mrs C made a claim for subsidence in 2001. The cause of damage was assessed to be settlement, not subsidence.

Ten years later, they made a further claim. The claim was accepted as subsidence damage. Subsequently, AXA determined that the cause of subsidence was excessive moisture levels in the ground.

When investigations commenced, it was considered that the damage was likely to be due to fluctuating water tables and/or seepage of water.

AXA had the underground drainage surveyed and found no damage. It also found uneven paving at the rear right hand corner of the property which allowed ground water to pool before seeping into the ground.

Eventually Mr and Mrs C were advised that the subsidence was due to poor surface water drainage.

Shortly afterwards, AXA accepted that water from neighbouring land could be percolating into Mr and Mrs C's property causing excessive underground moisture and that the water table itself may be inherently high.

As a result, AXA recommended the installation of a land drain or to rectify the defective paving. In either case it advised that the work required was not covered under the terms of the policy, although it accepted liability for the subsidence damage.

Mr and Mrs C instructed a surveyor. He suggested that further investigations to determine the actual cause of damage should be carried out by AXA before Mr and Mrs C do any work.

AXA did not agree to carry out further investigations. It said that it had established the cause of the subsidence and was not required to say which alternative repair scheme would be appropriate. It said that as it had found that excessive ground water was the cause of the subsidence, it was not required to determine which of the three potential causes were to blame.

Our adjudicator considered it unfair for AXA to require Mr and Mrs C to fund repairs that may be inappropriate and therefore unsuccessful. She also thought that AXA should be responsible for any repair scheme on the basis that it was necessary in order to carry out an effective repair to the subsidence.

my provisional findings

I have considered all the available evidence and arguments to decide what is fair and reasonable in the circumstances of this complaint.

AXA accepted the claim as a valid subsidence claim relating to the high levels of moisture in the ground.

AXA's liability to carry out preventative work

The crux of the complaint is whether or not AXA is justified in requiring Mr and Mrs C to pay for work required to prevent subsidence continuing.

AXA has advised that it will only carry out repairs to the structure of the property once Mr and Mrs C have carried out its recommended improvements. It says that strictly speaking, it is not required to investigate or remove the cause of subsidence.

The problem for Mr and Mrs C is that they have been given two alternative repair schemes either of which in theory could remedy the cause of the subsidence. AXA is not prepared to carry out further investigations as suggested by the surveyor instructed by Mr and Mrs C, although it has said in correspondence with the adjudicator that the installation of the drainage will mitigate the cause.

More importantly, it is this service's view that where removal of the cause of subsidence is required in order for an effective repair to be carried out, the insurer is required to arrange and/or pay for this. Whilst the strict terms of the policy only require the insurers to *repair* the damage, AXA will be aware of our approach. For example, we would expect underpinning to be paid for by the insurer when it is necessary in order for an effective repair of damage to be carried out - i.e. to stabilise unstable ground. In this case, the ground needs draining in order to stabilise it. It is therefore preventative rather than repair work. However no insurer would deny liability to underpin where appropriate. Similarly here AXA is responsible for remedying the damage caused by subsidence where unless the preventative work is done, the damage will recur in the short to medium term. I consider that that applies in this case.

the appropriate repair scheme

Having considered all the reports, I am not persuaded that re-profiling of the patio is likely on its own to remove the cause of the subsidence. I think it is most likely that the installation of a land drain will mitigate the cause of the subsidence. However I am conscious that the loss adjuster has said in a letter to Mr and Mrs C in December 2011 that *"Whilst this work is viewed as an alternative to the installation of a drainage gulley, we still recommend that work is carried out to the patio area to reduce the ponding and ensure surface water is directed away from the right hand side and rear walls of the house."*

The conclusion I draw from that is that 1) it is most likely that the installation of the drainage will drive away surface water and water coming in from the neighbour's property 2) the re-profiling of the patio will prevent surface water from pooling around the rear of the house. My view is that AXA should carry out both the re-profiling and the drainage prior to it remedying the subsidence damage.

In view of my conclusions I do not intend to direct that an engineer be appointed since the only purpose of doing so would be to show whether that AXA's expert was wrong or to decide which of the repairs should be carried out. I have seen no persuasive evidence that AXA's conclusions as to the cause of the subsidence are wrong and I propose to direct it to carry out both repair schemes.

distress and inconvenience

I have also considered the distress and inconvenience caused. In my view AXA should have taken on responsibility for the repair works. I also consider that the confusion caused by the alternative repair schemes put forward caused delay and put Mr and Mrs C to some inconvenience. I propose to direct AXA to pay £150 for the distress and inconvenience caused to them by its handling of their claim. Additionally it should pay any cost incurred by Mr and Mrs C in appointing a surveyor.

Overall I consider that AXA must carry out both the installation of the land drain and the re-profiling of the patio and then go on to deal with the repairs and any other necessary preventative work, such as underpinning, to deal with Mr and Mrs C's claim.

my provisional decision

My provisional decision is that I uphold this complaint.

I propose to direct that AXA Insurance UK Plc:

- at its expense carry out their recommended repair schemes of the installation of drainage to the right hand side of the property and re-profiling of the patio area.
- carry out necessary repairs and any preventative work to deal with the subsidence damage.
- pay to Mr and Mrs C the sum of £150 for the distress and inconvenience caused by the handling of the claim
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